help. This has not been lost on wealth management firms that are now looking more aggressively into how alternative investments can be used to improve client returns.

For example, Morgan Stanley has outlined asset allocation models for its high net worth investors with under $25 million in investable assets; those models recommend 56 percent stocks, 19 percent bonds, 3 percent cash, and 22 percent alternatives. For those clients with over $25 million in investable assets, the recommendation is for 50 percent stocks, 19 percent bonds, 3 percent cash, and 28 percent in alternatives.[12] Merrill Lynch has recommended allocation models for its typical client that include alternatives near or above 20 percent of a portfolio.[13]

Clearly, the inclusion of alternative investments should not be limited to only high net worth investors. Historically, one of the biggest reasons alternative investments have not been incorporated into retail portfolios is because of their illiquid characteristics. Many retail investors can’t guarantee that they won’t need to access their funds for 10 years, making many alternatives out of reach. That, however, is changing.

Over the last decade, to address the need for alternative investment options as a way to provide diversification and noncorrelation from the traditional capital markets, wealth management firms have been creating more investment options for the typical investor. The proliferation of ETFs has led to the creation of liquid investments in alternative assets, such as gold, energy resources, and real estate, as well as ways to play the volatility of the market. Because of the easy